



Block-3

Strategies of International Business

THE PEOPLE'S
UNIVERSITY

BLOCK 3 STRATEGIES OF INTERNATIONAL BUSINESS

This block considers the strategic aspects of managing international business. It discusses the different types of organizational structures along with their merits and demerits. It also gives an overview as to how an organization chooses a mode of entry and accordingly frames its international strategy. Finally it discusses the importance of strategic alliances for organizations operating in an International environment.

This block has following **three** units.

Unit 7 : International Entry Strategies

Unit 8 : Organizational Structures

Unit 9 : Strategic Alliances



ignou
THE PEOPLE'S
UNIVERSITY

UNIT 7 INTERNATIONAL ENTRY STRATEGIES

Objectives

After studying this unit, you should be able to:

- analyse the impact of environmental factors on market entry;
- explain the theories of internationalization;
- identify the factors that influence entry modes; and
- understand various market entry modes and strategies.

Structure

- 7.1 Introduction
- 7.2 Volatility of Environment
- 7.3 Theories of Internationalization
- 7.4 Factors Influencing Entry Modes
- 7.5 Market Entry Modes
- 7.6 Market Entry Strategies
- 7.7 Summary
- 7.8 Key Words
- 7.9 Self-Assessment Questions
- 7.10 References/Further Readings

7.1 INTRODUCTION

An organization has to make a gamut of decisions before it enters the global market. It has to resolve three basic questions which may be related to each other (Hill & Jain, 2006):

- 1) Which foreign markets to enter, when to enter and to what extent i.e. level of involvement?
- 2) What would be the choice of the entry mode? and
- 3) What would be the role of strategic alliances, if any?

In this unit we will discuss the first two parts. The issues related with strategic alliances will be taken up in unit 9. Here, we will discuss various entry modes that an organization can choose from in the wake of its decision to “go international,” starting with the simplest, i.e., exporting (Keegan, 2002). It is important for an organization to first tackle the question related to: which foreign markets to enter as also the timing and scale of entry. The decision should be taken in the context of long term growth and the profit objectives of the firm. We will first discuss the impact of the general business environment of the target country on the modal choice of market entry.

7.2 VOLATILITY OF ENVIRONMENT

An organization planning to 'go-global' has to decide its entry mode and strategy. Accordingly, it has to evaluate the prevailing business environment that might affect its decision to go global. The scanning of global business environment which is also referred as PESTEL analysis helps us probe the issues and challenges involved in deciding the appropriate entry for an international market. The PESTEL analysis provides perspective to an organization on selecting the particular market and also the entry mode to get into business. The nature of the market also helps in determining what would be the possible factors to consider before one actually get into business. If a woollen manufacturer from India intends to go global, he/she will, obviously, first tap the markets which falls in Northern Hemisphere having extreme cold and people needs woollens to protect themselves and can subsequently explore the fragmented business opportunities even in the countries having plenty of Sun-shine. Similarly, a low capacity (80cc to 300 cc) bike manufacturer from India should scan the business environment of the countries in Africa, Asia and Latin America where customers need bike for utility, instead of luxury-buying of bikes of high capacity by rich and affluent customers in markets of developed countries, i.e. Europe and North America.

There are certain factors which are controllable and certain factors that are, uncontrollable. For example, when KFC (Kentucky Fried Chicken) came to India as a part of its global expansion programme, it faced stiff resistance from the Hindus who felt that KFC was selling beef under the disguise of chicken and that it's vegetarian and non-vegetarian items were cooked in the same oil. Wherever KFC went, from Bangalore to New Delhi, the company had to face stiff resistance and protests, including several of its stores being destroyed by the protestors. The company did not or could not have anticipated such kind of trouble. However, once it was able to overcome this problem, the company experienced another problem and it was that its customers were unable to relish the taste of the product; it received thumbs down from them. This case narrates how companies have to face the unpredictability of the environment and in this case it was the socio-cultural factors that troubled the company.

In the context of the unit, it is important to understand how the environmental factors affect the market entry, particularly, the uncontrollable factors which are more important to consider. A company may have developed its own objectives and strategies to achieve them, but the environmental factors have to be considered carefully. It is the business environment analysis especially of political, economic, social, technological, environmental and legal which have its important bearing on entry mode of firm. Scanning of business environment must be an ongoing process as the nature and scope of international business operations change, the company will be able to adapt to these evolving changes.

The MNEs, by their nature, believe in market expansion and diversification as their strategic approach. In fact, MNEs advocates globalization and reap rich business dividends out of global business. The globalization exposes the business to more risks in comparison to the domestic business. Though the global operations give the MNEs flexibility in their operations, the advantages may be in short-run or may even disappear as business progress. It largely depends on how an MNE tackles the business environment in diverse global markets. Table 7.1 as under demonstrates the impact of environmental changes on a business firm, both in a host and home country.

Table 7.1: Impact of Environmental Trends

Environmental Drivers	Demands	
	Host	Home
Political	Employment Technology Acquisition Exports	Employment Hollowing Effect Trade Patterns
Economic	Labour Use Currency Industrial Policy	Labour Cost Restructuring Productivity
Information Economy	Employment Exchange Rates	Employment Hollowing Effects
Socio-economic	Culture Acceptability Freedom	Culture Accessibility Customization Control
Technological	Market Access	Manufacturing Services
Legal	Entry Barriers	Policy Issues

In the context of these environmental changes, the MNEs have to walk on a tight rope between the home and host countries' demands. The management in both home and host country faces political pressure on issues such as employment, technology and exports as respective government(s) in home as well as host countries will be enthusiastic to promote more employment, technology innovation and exports. It requires a great balancing by the top management of a MNEs failing which it may lose competitiveness in the home country due to the 'hollowing effect' i.e., the loss of creative aspects in changing or shifting the production processes. This might, in turn, change the country's trade pattern. The classic case shifting of bases by some of the US based MNCs to India has resulted in a debate back home on employment issues, falling competitiveness and declining services exports. The term like '*banglored*' are used to the lay-off of employees in US based companies as some of these jobs are outsourced to a Bangalore-based company, for leveraging cheap technical labour from India. These issues sometimes, takes political shapes; like the US administration openly advocating against relocation of its key industries to China, Vietnam, Indonesia, Malaysia and India.

Even the seminal academic work as well as contemporary journalism attract to issues of global business environment and challenges faced by firms in international markets. An article published in Time-Business & Money talks about the trends in International business. The article is on Silicon Valley and talks about "How Silicon Valley's Hollowing-out the Economy by Christopher Matkerus, May 07, 2013. The article talks about the destructive dynamism of American capitalism but this trend has become global where old companies are taken over by new technology and new firms are more in tune with the needs of the customers with the presumption that it will benefit all. A new term called information economy has come up which has become one of the major environmental factors to make the business environment more volatile and uncertain. The leveraging of information technology to run offices from home during Covid-19 pandemic has vindicated the learnings of this article.

Furthermore; the earlier economic logic of looking for low wage countries for production is losing its relevance due to:

- the reducing proportion of direct labour cost in the total cost,
- the relative cost advantage is becoming marginal, and
- finally, the logic of improvement in productivity as a result of restructuring of the manufacturing systems.

Needless to mention that the social pressures are mounting in different countries as living standards improve. Besides, a new set of manufacturing techniques like CAD (Computer Aided Design), CAF (Common Assembly Format), FMS (Flexible Manufacturing Systems), CIM (Computer Integrated Manufacturing), and Robotics are available now. These developments have reduced the product cost, and increased flexibility in production runs. All these factors create conflicting demands by both, the host and home countries, for the MNEs.

Additionally, there are divergent pulls of competitive dimensions: one is towards standardization of products (homogenous products) to meet the needs of consumers around the world, and the other is to move towards finer customer segmentation due to different countries being at different stages of development, and also due to different customer preferences.

The MNEs try to minimize these environmental risks either through restructuring of their business or/and through migration.

Environmental Scanning

The MNEs normally, before the market entry, try to obtain and scan all the needed information about the market potential and competition in different countries. Once an MNE has established its operations, the information required would broaden. The process of information acquisition is referred as scanning. Keegan (1982) has identified four major categories of information. These are:

- Market information
- Prescriptive information,
- Resource information, and
- General information.

The market information deals with international marketing mix factors, the features of products, pricing, distribution and promotional strategies. It further also helps understand the competitive products in the markets, nature of competition, marketing offers and investments required by a firm to deal with it. The prescriptive information is about rules and regulations affecting business, both in the home and the host country. It may include factors such as foreign exchange, taxes, incentives and any other regulations affecting the company. The resource information is mostly about various resources, other regulations affecting the company e.g., manpower, money, raw materials, potential acquisitions and mergers, joint ventures, and any regulations in this respect. General information relates to macro-level information. This would cover economic, social, political, scientific environment and the management practices in different countries.

Describe the characteristics of environmental scanning by collecting the related articles especially for the economic challenges faced by firms during the pandemic.

.....

.....

.....

.....

.....

7.3 THEORIES OF INTERNATIONALIZATION

While studying international entry strategies, why is it important to study the theories of business internationalization? The answer lies in the fact that modes of entry into international market are predicted on the basis of internationalization theories. In this section; we will discuss some conceptual approaches to internationalization so that we get a fair idea about different theories of internationalization. How they govern conduct of internationalization of a firm including the planning of internationalization in a given scenario. We shall discuss six basic conceptual approaches, which are as follows:

- Uppsala model
- Transaction cost analysis
- Eclectic theory or contingency approach
- Industrial network approach
- Business strategy approach
- Bargaining power approach

- 1) **Uppsala Model:** The key proposition of this model is that how the firms proceed in an incremental manner in the international markets and this is largely based on the knowledge which they have gained over a period of time (Whitelock, 2002). This assertion is based on the fact that firms first expand into markets which are physically and culturally close (geographic closeness) and slowly gain experience and knowledge (experiential knowledge) which they use for distant, diverse and variegated markets. An Indian Ayurveda product manufacturing company will first focus on markets which are in close geography of India and have similar cultural affinity, for instance, India Ayurveda products manufacturers are popular in South Asia and are increasing their reach to markets of South-East Asia (Indo-China region) and Middle-Eastern Countries. Similarly, a North American company, Kellogg's first expanded in the regions which are geographically closer and are somewhat similar to the home markets, Mexico or Canada and after having gained experience of internationalization, it expanded to markets of Europe, Asia, Africa and Latin America.
- 2) **Transaction Cost Analysis (TCA):** This model is based on the assumption that markets are competitive in nature. According to Whitelock (2002), TCA predicts that firm integrate when asset specificity is high, in the other world, it has become

expensive to manufacture home and export it to international markets. The firm realize that it is cheaper to manufacture and sell in other countries and it expands its operations from to such markets by making a business entry. In short, it can be said that TCA is based on the concept that a firm will internationalize if it can perform the same tasks and functions at a lower transaction cost in the other countries when compared with cost of manufacturing and exporting to such market (Lee & Carter, 2006).

- 3) **Eclectic Theory or Contingency Approach:** Dunning (1988) explained the importance of locational variables in the foreign investment decision of a firm in his 'Eclectic or Contingency Approach' which is also known as the 'Ownership-Location-Internalization (OLI) framework'. Dunning propounded that the propensity of a firm to engage itself in international production increases is dependent on the following three variables:
 - a. **Ownership advantages:** Any internationally engaged firm has bigger ownership advantages when compared with the domestic one as it owns foreign production facilities and assets. Ownership advantages may be tangible assets like owning mine or rare mineral and intangible assets like technical know-how or managerial talent.
 - b. **Locational advantages:** The locations offer the business gains and profits from the assets it owns, i.e. factor endowments (labour, energy, materials, components, transport and communication channels) in the foreign markets. If locational advantages do not exist, such a market will be served by exports.
 - c. **Internalization advantages:** It serves firms interests to gain from ownership as well as locational advantages through the process of internationalization. There is no reason to sell these assets or offer them on lease to some other firm.
- 4) **Industrial Network Approach:** The Industrial Network Approach is based on the basic assumption that the international firm cannot be analysed as an isolated actor/enabler. In fact, it has to be viewed with respect to other actors/enablers in the international business environment. A firm is dependent on the resources controlled by others. For instance, a radar manufacturer for an aeroplane industry is completely dependent on the export orders received by the aeroplane manufacturer. Similarly, a cryogenic engine manufacturer is dependent on the orders received from space agencies of respective countries. There is no stand-alone use of a radar and a cryogenic engine. Further, the supplier to such radar and cryogenic engine manufactures are also dependent on wider industrial connection around the globe. Johanson and Mattson (1988) rightly explain it as the relationships of a firm within a domestic network which can be leveraged in industrial network connections to other networks in other countries.
- 5) **Business Strategy Approach:** This approach is based on the idea of 'pragmatism' whereby the firm makes trade-offs between a number of variables in its decision to internationalize. It can therefore be said that according to this approach, the process of internationalization takes into account market attractiveness, psychological distance, accessibility and informal barriers.
- 6) **Bargaining Power Approach:** According to this approach the choice of entry mode is the outcome of negotiations between the firm and the government of the

host country. For instance, Russian defence equipment manufacturers are able to bargain better terms in India's defence sector due to their closeness for a long number of years.

Overview of Theories of Internationalization

It must be said that each theory of internationalization depends, to a large extent, on the availability of market information to implement internationalization decisions. Each model has its own way of affecting the decision of the firm to enter the global markets. Table 7.2 gives a broad idea about the basic features of different models.

Table 7.2 : An Overview of Theories of Internationalization

Theory	Key Features	Locus
Uppsala Model	Experiential learning	Firm
TCA/Eclectic Theory	Cost of transaction	Firm
Industrial Network	Interaction	Customers, suppliers, vendors, competitors, other stakeholders in business eco-system
Business Strategy	Opportunity Resources Management philosophy	Market
Bargaining Power	Negotiation	Firm

The above table gives an idea as to how the theories of internationalization play an important role in framing international entry strategies for the firms, which plan to 'go-global'.

7.4 FACTORS INFLUENCING ENTRY MODES

By now you have learnt different theories of internationalization which can help a firm in making an appropriate entry decision for international markets. Let us now try to understand the effects of certain factors on the market entry decision of the firm. The market entry factors for any organization depend on several external factors, such as:

- i) Market (Country) - attractiveness
- ii) Country risks (political and operational)
- iii) Government policies
- iv) Timing
- v) Internal capabilities
- vi) Cost benefit analysis

Country attractiveness remains one of the most important aspects for making market entry decisions. While evaluating country attractiveness, the market and industry opportunity needs to be assessed for a specific market. The general attractiveness is dependent on the opportunity and risk analysis. The context of opportunity will change

from industry to industry and accordingly the risk will also change. The market opportunities are based on market size, market growth, and quantum of demand of products and services. Similarly; the industry opportunities are based on quality of competitive climate, industry competitive structure and investment incentives granted by the governments.

Country risk is the second factor that needs to be assessed before entering into any market. The country risk is dependent on the political and operational risks. The stability factor of the economy remains critical while assessing country risk. Compared to Europe, doing business in Africa may be a different proposition and this is dependent on the internal stability of the region. The other factors can be regulatory risks, trade barriers, currency risks, cultural distances and institutional norms.

The third factor influencing the market entry decision in international markets is that of government policies. Government policies vis-a-vis the foreign investments and companies including the kind of regulatory support offered have its important bearing on the market entry decision. Government policies reflect the long-term orientation for the industrial policies and role of MNEs. The growing interest of foreign companies in the production-linked incentives scheme for promoting domestic manufacturing is a result of government policies. Similarly, the government of India is offering almost US\$12 billion as subsidies to the chip-manufactures to set-up their plants in India. This will improve the eco-system of domestic manufacturing and promote local employment, economic opportunities and exports. Government policies have another dimension of political risks, for instance, a foreign company is always concerned about the nationalization of assets, expropriation, import restrictions, economic blockage, etc. Due to Russia-Ukraine stand-off in 2021, many companies have moved to safer places for business.

Timing also influences the decision of international market entry. When an economy opened-up, it makes sense to enter rather than when many other firms have established themselves to give tough competition for market entry (Shad Morris, James Oldroyd & Ram Singh, 2021). This is also known as the first-mover advantage.

The internal capabilities of the firm refer to entering and developing local resources, assets and competencies in order to gain and sustain competitive advantage. The last aspect on the cost benefit analysis refers to the expected return on investment.

Activity 2

Suppose you are working in a company, which is into manufacturing business. How should the company go about in developing its internal capabilities in order to gain and sustain competitive advantage? Explain.

.....

.....

.....

.....

.....

.....

7.5 MARKET ENTRY MODES

There are different ways in which an organization enters any market. In fact, the choice is dependent on the factors discussed in the earlier section. We will now explain some of the key modes in the ensuing paragraphs. The usual choice is to start the international business with the 'exporting' and especially the 'direct exporting'. It offers a firm to gain insights of the market along with experience which helps it to plan bigger decision. The exporting is also a least cost model as the production is being done home, and if the product fails even after making several adaptations and leveraging other elements of marketing mix, it can be easily withdrawn. Indirect export also helps some knowledge of international business and help to create a network of prospective buyers along with understanding of various stakeholders in the export supply chain.

The third major mode is licensing/franchising in which the licensor or franchisor (usually the owner of the title) sells the rights of intellectual property such as 'patents' or 'technical know-how' to the licensee/franchisee for a royalty. The licensor/franchisor does not have to bear the full costs and risks associated with foreign market expansion. The fourth most preferred option is joint venture, in which a new entity takes birth, by joining of hands of two parties. The last and the most significant mode of international market entry is that of foreign direct investment (FDI). FDI can be in the form of a Wholly-owned Subsidiary or an acquisition of an existing company, in part or as whole. In both cases the company decides to build or acquire offices, factories and other infrastructure in the host country in order to operate. Usually subsidiaries come into existence through green or brown field projects.

These are some of the most popular forms or modes of international market entry. Further, table 7.3 gives a brief idea about the merits and demerits of the different modes of entry.

Table 7.3 : Modes of Entry-Advantages and Disadvantages

Entry Modes	Advantages	Disadvantages
1. Non-Equity Modes: Exports		
Direct Exports	- Economies of scale in production concentrated in home country - Better control over distribution (relative to indirect exports)	- High transportation costs for bulky products - Marketing distance from customers - Trade barriers
Indirect Exports	- Concentration of resources on production - No need to directly handle export process	- Less control over distribution (relative to direct exports) - Inability to learn how to operate overseas
2. Non-Equity Modes: Contractual Agreements		
Licensing/ Franchising	- Low development costs - Low risks in overseas expansion	- Little control over technology and marketing - May create competitors - Inability to engage in global coordination

Turnkey projects	• Ability to earn returns from process technology in countries where FDI is restricted	• May create efficient competitors • Lack of long term presence
R&D contracts	• Ability to tap into the best locations for certain innovations at low costs	• Difficult to negotiate and enforce contracts • May nurture innovative competitors • May lose core innovation capabilities
Co-marketing	• Ability to reach more customers	• Limited coordination
3. Equity Modes: Joint Ventures		
	• Sharing costs and risks • Access to partner's knowledge and assets • Politically acceptable	• Divergent goals and interests of partners • Limited equity and operational control • Difficult to coordinate globally
4. Equity Modes: Wholly owned Subsidiaries		
Green Field Projects	• Complete equity and operational control • Protection of technology and know-how • Ability to coordinate globally	• Potential political problems and risks • High development costs • Slow entry speed (relative to acquisitions)
Acquisitions	• Same as green-field (above) • Fast entry speed	• Same as green-field (above) except slow speed • Post-acquisition integration problems

Source: Global Strategy, Mike W. Peng, Cengage Learning, 2007.

7.6 MARKET ENTRY STRATEGIES

Strategy is an integrated action in pursuit of competitive advantage (Keegan, 2002). Successful strategy requires a clear understanding of the unique value that the firm possesses, which becomes the source of the firm's competitive advantage. Each mode of entry to international markets as discussed in the previous section requires a distinct market strategy.

The choice of market entry mode and strategy is a complex decision. Usually; the management of a firm have differing objectives, product/service and diverse markets. Further, the cultural factors matter in international business and competition is also high

along with the degree of risk. In such challenges, the management of the firm has to appropriately strategize.

The market entry strategies usually integrate the following factors:

- Corporate objective and resources
- Level of involvement
- Level of risk and control
- Nature of market, competition, product, consumer and market coverage
- Speed of entry
- Investment and market cost
- Administrative requirements
- Flexibility, agents, distributors and retailers
- Payback

This analysis assumes a more incremental approach to the market entry decision for international markets. Matching strategy and the appropriate form of entry mode is a challenging decision for the international business firms and its management. For instance; the General Agreement of Trade in Services (GATS) has had an effect on entry strategies adopted by global banks for banking services. Similarly, the Trade related Intellectual Property Measures (TRIPS) affect the decision choice of market entry for a pharmaceutical firm. Furthermore, as the customer loyalty is vital in services industry, the decision on mode of entry in international markets for services firm is also affected by the customer loyalty criteria. For example, a hospital chain may not offer licensing or franchising model but instead will operate with wholly owned or joint venture model so as to ensure that its core philosophy of offering high quality services and associated brand equity is not impacted. Offensive marketing strategies do not work in services sector and accordingly a hospital chain should expand with an entry mode which facilitates its core philosophy of catering value-oriented services. In the above context, the core pillars of an entry strategy should be based on:

- Business Intelligence
- Customer Service Strategy
- Customer Complaint Management Strategy
- Aikido Strategy
- Free Telephone Line Strategy
- Focus Strategy
- Differentiation Strategy
- Market Diversification and Cost Leader Strategy

We have earlier seen that each entry mode is associated with its own set of advantages and disadvantages. The entrant firm to international business should appreciate the merits and demerits of each mode of entry, understand underlying risks and benefits and accordingly select appropriate mode of entry. The modal choice of entry and associated strategies will vary from organization to organization.

Activity 3

Identify a service organization (e.g., Infosys, TCS, etc) which has international operations. Approach a knowledgeable person in the organization and discuss with him the company's modes of entry in foreign countries. List out the main points of your discussion and share them with the counsellor and your counselling session mates.

.....

.....

.....

.....

.....

7.7 SUMMARY

Market entry strategies are about ways and means to enter any given market when firms go global. The strategy is however dependent on the market entry modes chosen by the firms.

Understanding the process of internationalization is important to the modes of entry. Internationalization refers to the process of a firm's efforts to go global and entry mode it chooses. There are several theories/models of internationalization that have been proposed, viz., Uppsala model, Transactional Cost Analysis, Eclectic Theory, Industrial Network, Business Strategy and Bargaining Power.

The factors that affect market entry mode are: Market (Country) attractiveness; Country risks (political and operational); Government policies; Timing, Internal capabilities, Cost benefit analysis. Having assessed the factors that affect market entry, the firm has to choose a particular market entry mode.

Though there could be several perspectives on entering foreign markets, the basic entry strategies relate to: direct export, indirect export, joint ventures, licensing and Greenfield projects. The mode of entry would depend upon the firm's level of involvement that it wants to have. Direct export represents the basic entry mode which capitalizes on economies of scale in production concentrated in the home country and it can have a better control over distribution. The strategy of indirect export is achieved by exporting through export intermediaries. In Licensing/franchising the licensor or franchisor (usually the owner of the title) sells the right of intellectual property; such as patents or technical know-how to the licensee/franchisee for a royalty. The licensor/franchisor does not have to bear the full costs and risks associated with foreign market expansion. Another most preferred option is joint venture, in which a new entity is created through the joint efforts of two parties. Foreign investment is an also a preferred entry mode when level of commitment in a market is high and can be in the form of direct investment and portfolio investment, i.e. buying shares of an existing company. FDI in turn can be in the form of owning a wholly owned subsidiary or through acquisitions. Another underlying reason for foreign investment is that of entering into strategic alliances in the host country.

A firm must choose the mode of entry in relation to the overall strategy that it has decided upon or has adopted and wants to follow it further. The choice of the mode is dependent on several factors and a choice usually would take into account the following factors:

- Corporate objective and resources
- Level of involvement
- Level of risk and control
- Nature of market, competition, product, consumer and market coverage
- Speed of entry
- Investment and market cost
- Administrative requirements
- Flexibility, agents, distributors and retailers
- Payback

7.8 KEY WORDS

Uppsala Model	:	A theory of internationalization which propounds that firms expand gradually and is based on their prior experience that it has gained in domestic or other neighbouring markets.
Transaction Cost Analysis	:	A cost based model that focuses on the lower cost model of business transaction for internationalization. The model proposes where the firm can do the business at lower costs, back home or in the host country.
Eclectic Theory or Contingency Approach	:	An approach that is based on the ownership specific factors, location, etc. Ownership includes possession of technology, marketing skills, and clout arising from financial size and other variables.
Agency Theory Approach	:	An approach that is based on the principle of contract where one party delegates activities or tasks to another person or entity. Some examples or forms of agency are: franchising, licensing, joint ventures and alliances.
Industrial Network Approach	:	A model that focuses on the firms' characteristics. The market forces are considered important in the internalization process.
Business Strategy Approach	:	An approach which considers that the process of internationalization takes into account market attractiveness, psychological distance, accessibility and informal barriers.

Bargaining Power Approach	:	An approach based on the proposition that the choice of entry mode is the outcome of negotiations between the firm and the government of the host country and their relative bargaining power.
Market Entry Modes	:	Various ways in which a firm can choose to enter into a market beyond the geographical boundaries of its own country.
Direct Export	:	Represents the basic entry mode which capitalizes on economies of scale in production concentrated in the home country and creating place utility in distribution from such concentrated production.
Indirect Export	:	A form of exporting which is done through trade intermediaries.
Licensing	:	A mode of entry where the licensor or franchisor (usually the owner of the title) sells the right of intellectual property such as patents or technical know-how to the licensee/franchisee for a royalty.
Joint Venture	:	A mode in which a new entity is created by two parties joining hands.
Greenfield Projects	:	A project that involves setting up everything from scratch, including office space, factory and all related investments required to operate.
Turnkey Projects	:	A contractual agreement where the firm operates on 'built, operate and transfer (BOT)' mechanism and handover it to the transferee when ready.
R & D Contract	:	A contract entered into with the specific purpose of pursuing some kind of R&D activity.

7.9 SELF-ASSESSMENT QUESTIONS

- 1) Discuss the impact of environmental factors on market entry with examples.
- 2) What are the different theories of internationalization that have been proposed and discussed in the Unit and how are they related to the modes of entry into foreign markets?
- 3) What factors influence market entry mode? Why is timing of entry into a foreign market important? Discuss.
- 4) Discuss the pros and cons of various entry modes? Critically comment upon them from the current perspective.

- 5) What are the relative advantages/disadvantages of setting up a wholly-owned subsidiary instead of a joint venture?
- 6) What is a joint venture and why do joint ventures often fail? Explain, citing examples of some recent failures.
- 7) Discuss various market entry strategies and how they affect entry modes.

7.10 REFERENCES/FURTHER READINGS

- Shad Morris, James Oldroyd & Ram Singh (2021): International Business, Wiley India Pvt. Ltd.
- Lee, Kiefer and Carter, Steve (2005). Global Marketing Management, OUP.
- Lasserre, Philippe (2003). Global Strategic Management, Palgrave Macmillan.
- Peng, W. Mike (2007). Global Strategy, Cengage Learning.
- Miller, Alex (1998). Strategic Management, McGraw Hill.
- Hill, W.L. Charles and Jain, K. Arun (2006). International Business- Competing in the Global Marketplace. Tata McGraw-Hill Publishing Company Limited.
- Keegan, J. Warren (2002). Global Marketing Management. Prentice-Hall of India Private Limited.
- Whitelock, Jeryl (2002). Theories of Internationalization and their impact on Market Entry. International Marketing Review, vol. 19, no.4, pp 342-347.
- www.emeraldinsight.com

UNIT 8 ORGANIZATIONAL STRUCTURES

Objectives

After studying this unit, you should be able to:

- describe the basics of organizational structures;
- understand the various types of organizational structures;
- describe the merits and demerits of various types of organizational structures; and
- appreciate the issues involved in each type of organizational structure.

Structure

- 8.1 Introduction
- 8.2 Organization Factors and their Elements
- 8.3 Types of Organizational Structures
- 8.4 International Division Structure
- 8.5 Global Functional Structure
- 8.6 Geographic (Area) Division Structure
- 8.7 Matrix Division Structure
- 8.8 Multi-Business Global Product Division Structure
- 8.9 Hybrid Structure
- 8.10 Transnational Structure
- 8.11 Summary
- 8.12 Key Words
- 8.13 Self-Assessment Questions
- 8.14 References/Further Readings

8.1 INTRODUCTION

The concept of organizational structures has become extremely relevant in the context of global organizations. It is indeed important to understand the organization structures especially the underlying linkages among four key areas; which include global strategies, global management, strategy implementation and global competitiveness. The essence of global strategy lies in coordination and integration of geographically dispersed operations for achieving global competitive advantage (Stone house et.al, 2001). In this context, the desired organizational structure and their different types become an important subject. The globally engaged firms usually choose an organizational structure which is aligned to their strategic objectives. In this unit, we are going to discuss various types of organizational structures and their advantages and limitations. The cost-cutting of business operations in the time turbulent economic times further compel us to think and innovate on organizational designs and structures. Organizational designs are primarily based on the four interlinked fundamentals viz. organizational structure,

organizational process (management process), people and organizational culture. In the subsequent section; we are going to discuss these key elements and then move further to study different types of structures.

8.2 ORGANIZATION FACTORS AND THEIR ELEMENTS

While planning the organizational structure for any internationally engaged business firm; the balance of autonomy and integration are two issues that are critical. Subsidiaries need autonomy in order to adapt to their local environment and parent company, simultaneously needs integration with all subsidiaries to implement global strategy. Global organizations need to achieve both integration and autonomy while fostering the increasingly important tasks of learning and knowledge transfer. Being able to transfer knowledge from one country to another provides a key source of advantage for multinational companies.

Four factors and their individual elements determine the crucial organization forces that affect a company's ability to formulate and implement global strategy.

- Organizational structure comprises the reporting relationships in business.
- Management processes comprise the activities such as planning and budgeting that make the business run.
- People comprise the human resources of an internationally engaged business firm and include its managers and all other employees.
- Culture comprises the values and unwritten rules that guide and shapes the behaviour of employees of an organization.

Each of these factors directly affects the others in formulating and implementing global strategy. Each organizational factor and its elements have a distinct effect on the use of each of the five global strategy levers, which are as follows:

- Market participation which involves the choice of country-markets in which to conduct business and the level of activity, particularly in terms of market share.
- Products/services involve the extent of product and market depth of a globally engaged company.
- Location of value adding activities refers to locational advantages, the firm enjoys for entire range of business activities in the global value chain including where to locate each such activity.
- Marketing involves the extent to which a worldwide business uses the same brand names, advertising and other marketing elements in different countries.
- Competitive moves involves the extent to which a global business makes competitive moves in specific countries as part of a global competitive strategy.

8.3 TYPES OF ORGANIZATIONAL STRUCTURES

Organizations all over the globe have to compete with a much wider array of companies than their domestic counter parts, and therefore have to evolve several strategies to become as efficient and cost-effective as possible. The choice of organizational structure shows the nature of the organization according to its decision making abilities. Basically;

there are three types of organizational structures. These are (<http://basiccollegeaccounting.com>, 2009):

Functional structure

Divisional structure

Matrix structure

Let us now discuss these in brief and then move further to see other popular forms of organizational structures.

Functional organization structure

A functional organization structure is one in which each type of work is performed in a different department. For example, the company's finances are looked after by the finance department. Each division performs a set of work. For example, marketing department looks after the marketing issues of the organization and so on. Each product line or geographic region then makes use of these centralized resources treating each department as if it is dealing with a separate external entity. (<http://www.ehow.com>, 2009). This helps the organization to have advantage of very standardized processes for each of its functions, and have economies of scale. These organizations focus on specialization of job skills, and are more centralized in nature. This type of organizational structure works well for smaller and less complex organizations dealing especially with the organizations that have only one or a few products or services. Furthermore, these are operating in relatively stable environment and have consistent business strategies.

The following are the advantages of this type of structure (<http://basic college accounting.com>, 2009) :

- economies of scale with efficient use of resources;
- task assignments consistent with technical training;
- high quality technical problem solving;
- in-depth training and skill development within functions; and
- clear-cut career paths within functions.

Divisional organization structure

Divisional structures are popular amongst organizations with diverse operations which are spread across many products, areas, and customers. This includes:

- greater flexibility in responding to environmental changes;
- improved coordination across functional departments;
- clarity in responsibility for product or service delivery;
- expertise focused on specific customers, products and regions;
- easier growth or reduction in size by adding or deleting divisions; and
- may reduce economies of scale.

This type of organizational structure has many advantages but has high probability of the disadvantages, which are as follows:

- May create unhealthy rivalries among operating units.
- May increase costs by duplicating resources and efforts across divisions and causing an over emphasis on divisional versus organizational goals.

Matrix organization structure

Matrix structures are often found in organizations pursuing growth in dynamic and complex environments. The matrix provides a way of coordinating different functional contributions to serve specific program needs. The advantages associated with this type of structures are as follows:

Flexibility: The matrix makes it easier to add, remove and change the focus of teams to reflect new programme directions or basic changes in business size.

Customer service: The customer or client of a matrix structure always has a back end support to solve the issues.

Better accountability: The matrix clearly identifies programme managers who can be held accountable for performance results. Moreover, this helps top managers stay informed about the happenings in the organization and why.

Improved decision making: The matrix organization structure forces decision making and problem solving down to the team level, where the best information exists.

Improved strategic management: The matrix organization structure makes top managers free of routine decisions and enables them to devote their time to more strategic management concerns.

The disadvantages associated with this type of structure are:

- Power struggles.
- Team members may become too focused on themselves and lose sight of important goals.
- Often creates increased costs as overhead rises in the form of extra salaries for managers related to the programme.

8.4 INTERNATIONAL DIVISION STRUCTURE

Let us now discuss different types of divisional structures based on the three basic types of organizational structures as discussed in the previous section.

The International Division Structure has each international business activity grouped into its own division, for example GE; having a microwave division and a turbine division. Figure 8.1 explains how this type of structure operates in the international arena.

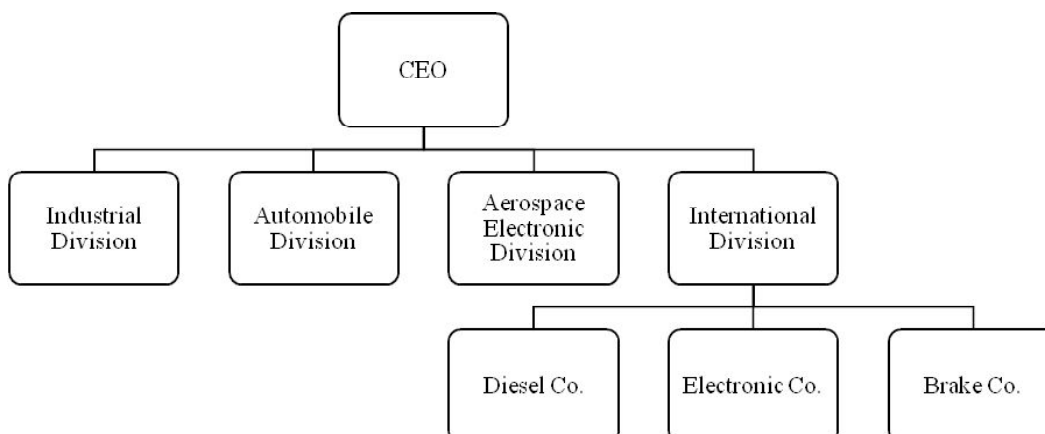


Figure 8.1: International Division Structure

The features of this type of divisional structure are as follows:

- It creates a critical mass of international expertise in its divisions.
- It has a more flexible approach where in it creates quick response to environmental changes.
- It prevents duplication of activities.
- This structure is best suited for multi-domestic strategies that requires little integration and standardization between domestic and foreign operations.

8.5 GLOBAL FUNCTIONAL STRUCTURE

The global functional structure is based upon the global centralization of decision making, coordination and control at the level of the key functional activities such as R&D, operations and marketing. All strategic decisions and operational policies are made at headquarter level.

The characteristics of global functional organization structure are shown in Table 8.1.

Table 8.1: Characteristics of Global Functional Structure

Organizational dimension Structure	Innovation	Efficiency of operations	Marketing impact
Central functional executive exercises global power and responsibilities	• Central R&D Function • In various research centres, research policies are centrally lead • Subsidiaries' R&D managers report to Central R&D	• Central operation function such as VP manufacturing • Subsidiaries' operational managers report to central VP operations	• Central Marketing function • Subsidiaries' marketing managers report to central marketing Vice President • Country managers in charge of local interface with government and legal matters
Processes	• R&D strategy and budgets decided centrally • Control and reporting centrally • R&D worldwide policies • Global standardized products development	• Global supply chain management • Global factories and operational centers • Central policies	• Sales function quite autonomous • Key marketing policies set globally • Global advertising • Global pricing • Global sales policies
Culture	• Careers are managed globally	• Careers managed globally	• Some local adaptation of sales

	• High level of transfer of personnel • Expatriates are key transferors of technology • Strong product/technology identity	• High level of transfer of personnel • Expatriates are best transferors of best practice • Strong technology identity	practices depending upon authorization by centre • Countries are normally profit centres but without much power to influence profit • Marketing careers are managed globally • High level of transfer of personnel • Expatriates are best transferors of best practice • Strong brand identity
--	--	--	---

The global functional organizational design does have its own set of advantages and disadvantages. The advantages are as follows:

- i) The efficiencies obtained through the coherence of decisions and policies;
- ii) Optimization, concentration and specialization of resources;
- iii) Economies of scale, avoids duplication of effort;
- iv) Favours rapid transfer of know-how from headquarters to subsidiaries.

The demerits are more visible when competitive business context is fragmented into several segments, calling for distinct capabilities. Further, this functional organization design may fail when local business environment in various business units and markets is significantly different.

Overall this type of structure brings-in a lot of new information via transfer of cultures, which in turn enhances the innovation capacity of the organization.

8.6 GEOGRAPHIC (AREA) DIVISION STRUCTURE

This structure is based on the global decentralization of decision making, coordination and control at the level of subsidiaries. In such a structure, central functions or product management roles are sometimes non-existent or, when they do exist, they play an advisory or coordinative role without much executive power. For instance, Ford Motor Company's geographic structure organizes its units into North America, South America, Europe, Middle East and Africa, and Asia Pacific (Shad Morris, Oldroyd & Ram Singh, 2021).

Functional managers within business units report to the local country manager, who in turn reports either directly to the chief executive or to a central senior manager in charge of international operations. The geographical (area) division structure is shown in Figure 8.2.

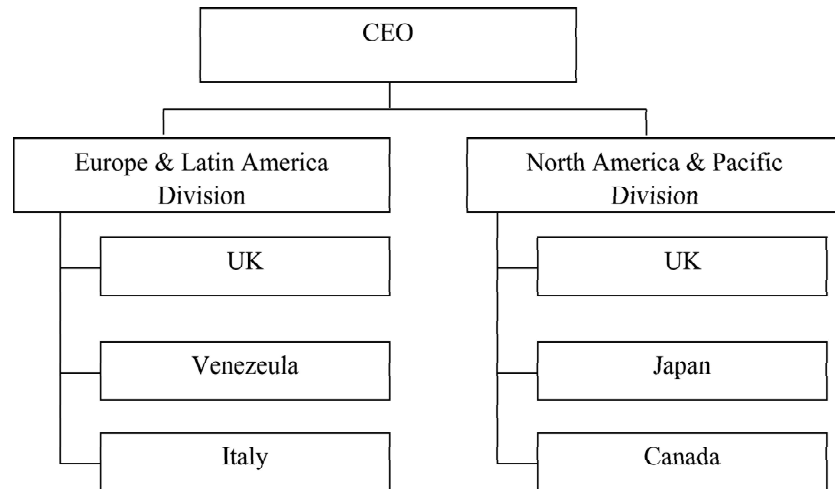


Figure 8.2 : The Geographical Organizational Design

Advantages of geographical structure:

- i) The main advantage is the flexibility and ability to incorporate local specificity into the organization's competitive approach;
- ii) It also helps in creating more localized value appeals for the consumers;
- iii) Helps in capturing rising opportunities because the decisions to change or adapt are localized in nature;
- iv) In highly dynamic markets like India, these are better suited structures.

Disadvantages of geographical structure:

The problems will arise when the local autonomy creates too much duplication and erodes the economies of scale. Also when customers become global and require standardized kind of approaches; this kind of structure may not be relevant.

The characteristics of Geographic Division Structure are detailed in Table 8.2 as under:

Table 8.2 : Characteristics of Geographic Division Structure

Geographic Scope	Organizational Structure	Management Processes	People	Culture
Global	- Centralized global authority. - No domestic-international split. - Strong business dimension relative to geography and function.	- Extensive coordination processes. - Global sharing of technology. - Global strategy information system. - Global strategic planning, budgets, performance review, and compensation.	- Multi-country careers. - Foreign nationals at home and third countries. - Extensive travel.	- Global identity. - Interdependence.

Multi-Local	• Dispersed national authority. • No domestic-international split. • Strong geographic dimension relative to business and function.	• Transfer of technology from headquarters. • National information systems. • National strategic planning, budgets, performance review, and compensation.	• Professional expatriates. • National run local businesses. • Limited travel.	• Multi-national identity.
Export-based	• Centralized home country control. • Separate domestic and international divisions may have strong functional dimension.	• Direction not coordination. • One way information flow to headquarters. • No technology transfer. • Focus on sales targets.	• Home country nationals run local marketing subsidiaries.	

In all, this structure is used when foreign operations are large and are not dominated by a single country or a specific region.

Activity 1

You have now understood the desired organizational features or types of geographic businesses. Based on your understanding, identify some organizations and list them according to their businesses.

.....

.....

.....

.....

.....

.....

8.7 MATRIX DIVISION STRUCTURE

According to this structure both functions and geography are given equal power and responsibilities. This is a common structure designed for engineering, advertising and consulting companies. The objective of this structure is to solve the requirements of efficiency and simultaneously leverage the responsiveness through dual structure. The concept of ‘think-global’ and ‘act-local’ is possible to implement with this kind of a structure. Figure 8.3 shows the matrix division structure.

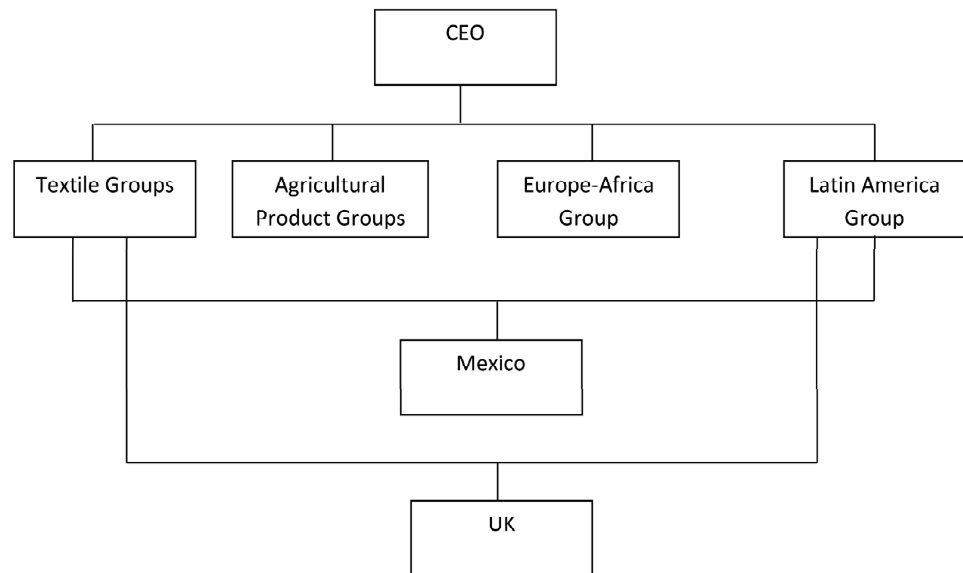


Figure 8.3 : Matrix Division Structure

Advantages of the matrix division structure:

- This structure gives a common focus to the functional, product and geographic groups;
- It makes each group share the responsibilities for foreign operations;
- It tries to deal with the competing pressures for global integration and local responsibilities.

Disadvantages:

- The unique needs of the groups are not encouraged;
- May eliminate the multiple knowledge-generating and decision making relationship.

Looking at the features of this structure, it can be said that it carries the functions of both the functional and divisional structures.

8.8 MULTI-BUSINESS GLOBAL PRODUCT DIVISION STRUCTURE

When an organization diversifies into several business activities to become a multi-business corporation, it has the choice among three different organizational models to manage its global operations. In this structure the divisional global headquarters of one business can be located in one country while the divisional headquarter of another product line or business is located in another country. The corporate headquarters' role is limited to overall strategic planning, financial control and executive career management.

In this model; the company is divided into business divisions and each division is in charge of a product or service line. The division head is responsible for the global performance of the business and the division. Within the division the organizational design can be one of the three kinds: globalfunctional, geographical or matrix.

When there are potential synergies between divisions then the corporate headquarters play a more proactive role and provide support services to subsidiaries like training, logistics, legal matters and financing. The multi-business global product division organizational design is shown in Figure 8.4.

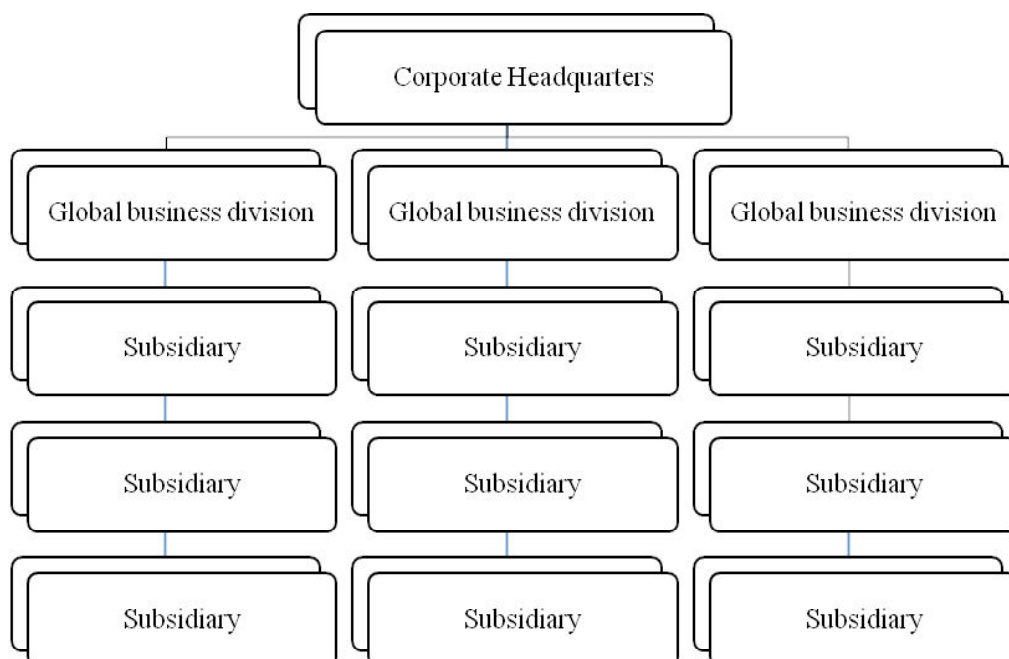


Figure 8.4 : Multi-Business Global Product Division Structure

Advantages of multi-business global product division structure:

- i) It gives the flexibility to adapt its structure to the competitive context of each business;
- ii) The design provides the organizational mechanism for global efficiency and coordination;
- iii) This is a model favoured by multi-business corporations.

Disadvantages

The structure does not seem operative in regions where the customers demand a strong coordination among businesses. There can also be duplication of efforts, since different divisions can approach the same customer. The second disadvantage is in terms of predominance given to global efficiency rather than local responsiveness.

Activity 2

Identify an organization which follows the multi-business global product division organizational structure. List the characteristics of the organization in terms of its structure, processes and culture.

.....

.....

.....

.....

.....

.....

8.9 HYBRID STRUCTURE

In this kind of structure there is a single line reporting. According to Lasserre (2003) this includes two types of models viz- a-viz:

- 1) **International division structure:** In this model, there is a clear distinction between the home country business units managed by divisional executives and international subsidiaries. The executives directly look after key business areas such as product development, manufacturing, marketing, exports for their respective territorial jurisdictions, i.e. domestic or international business operations. The business leadership of an international division develops their country's strategic development.
- 2) **Complex dual structure:** The logic of dual models is to create within the global organization, a mix of different designs. It offers the flexibility to take care of the many business specifics for international business operations.

8.10 TRANSNATIONAL STRUCTURE

This structure focuses on the management processes and culture. It follows the N-form (network) in contrast to the M-form (multi-divisional). The reason for this is that it stresses on issues like integration, combination, multiplication of resources and capabilities. It also focuses on managing assets and core competence as a network of alliances in contrast to geographical and functional division (Aboy, 2009). A transnational model is basically a compromise between the local autonomy and centralised decision-making whereby the organizations try to maintain a balance between the pressures of global integration and the pressures of local responsiveness (Raisinghani, 2009).

According to the transnational model there are four types of differentiated managerial roles (Lasserre, 2003).

- a) Global business managers
- b) Country managers
- c) Functional managers
- d) Corporate managers

Since the model follows a hybrid structure, each managerial level has its own role.

The key features of transnational designs are:

- 1) Business units are part of a network which follows a principle of reciprocal dependency.
- 2) All roles are important for competitive success and therefore no dimension viz. global, functional or geographical dominates.
- 3) It follows a clearly defined and tightly controlled set of operating systems.
- 4) Good interpersonal relationship.
- 5) Inter-unit decision forums.
- 6) Strong corporate values.
- 7) A culture of sharing and willingness to collaborate.

The major limitation of this model is that it requires management intensive processes. It is still considered more as a mind-set or an idea than a full-fledged organizational structure. Despite of this fact, today's organizations have started to rely more on the

development of skills, attitudes and behaviour in line with the transnational model rather than focusing on the lookout for an ideal structure.

8.11 SUMMARY

In this unit, we have studied different types of organizational designs. Initially the unit covers the organization factors and their key elements, which have a distinct effect on the formulation and implementation of a global strategy. The factors which have effect on the global strategy are organizational structure, management processes, people and culture. This unit covers in detail, the different types of organizational structures.

The unit describes the global functional structure and also discusses the other models like geographic structure, matrix structure, global product division structure, multi-business geographical structure, and hybrid structure. Each structure has its distinct features and also has its limitations. The advantages and disadvantages of each structure are discussed in brief. Finally the unit discusses the transnational structure, which is considered to be a mix of the other structures.

8.12 KEY WORDS

Global Strategy Levers	:	Designing business strategies for the global or the local markets which require strategic dimensions to be considered. Strategy levers are four namely; market participation, product/services, location of value-adding activities and competitive moves which has to be kept in mind, while designing strategies.
Organizational Structure	:	The organizational structure allocates the roles, responsibilities and power to the people in a structured format, which may have a hierarchy or may be linear.
Management Processes	:	It is a systematic approach towards how decisions are made, resource allocation done, commitments decided, policies enacted and rewards sanctioned and finally control is exercised.
Global Functional Structure	:	The highly centralized structure focuses on the fact that most global operations are controlled centrally and critical activities like R&D, operations and marketing are managed from the centralized office.
Geographic Structure	:	This structure is the reverse of the global functional structure, where-in the activities are decentralized, particularly decision making, coordination and control at the level of subsidiaries.
Matrix Structure	:	In this structure both functions and geography are given equal power and responsibilities. It is

a combination of the earlier two models discussed. For example; the global R&D may be handled at the centralized level but for resource allocation, subsidiaries are also consulted and have their say in decision-making.

- Hybrid Structure** : In this structure the managers have a single line of reporting. There are two types of hybrid structure; international division model and complex dual structure model.
- Transnational Structure** : This structure focuses on management processes and culture rather than structure. It believes in managerial roles, critical for the structure to work.

8.13 SELF-ASSESSMENT QUESTIONS

- 1) What are the benefits of having a geographical organization?
- 2) What are the typical difficulties in implementing a matrix organization?
- 3) What are the characteristics of the transnational structure?
- 4) How does the transnational model differ from the other structures?

8.14 REFERENCES/FURTHER READINGS

- Aboy, Mateo (2009). www.mateoboy.com
- [http://basiccollegeaccounting.com/the-different-types-of-organization-structuresfunctional-structure/\(2009\)](http://basiccollegeaccounting.com/the-different-types-of-organization-structuresfunctional-structure/(2009)).
- Shad Morris, James Oldroyd & Ram Singh (2021): International Business, Wiley India Pvt. Ltd.
- Inkpen, Andrew and Ramaswamy, Kannan (2006). Global Strategy (Creating and Sustaining Advantage across Borders). OUP.
- Lasserre, Philippe (2003). Global Strategic Management. Palgrave Macmillan.
- Raisinghani, Mike (2009). www.referenceforbusiness.com
- Stonehouse, George, Hamill, Jim, Campbell, David and Purdie, Tony (2001). Global and Transnational Business: Strategy and Management. John Wiley & Sons Ltd.
- Yip, S. George (1995). Total Global Strategy (Managing for Worldwide Competitive Advantage).
- <http://www.ehow.com> (2009).

UNIT 9 STRATEGIC ALLIANCES

Objectives

After going through this unit, you should be able to:

- understand the concept of strategic alliances;
- differentiate between various types of strategic alliances; and
- understand the role of alliances in the context of business strategy and global strategy;
- describe the management of strategic alliances.

Structure

- 9.1 Introduction
- 9.2 Concept of Strategic Alliances
- 9.3 Types of Strategic Alliances
- 9.4 Strategic Value of Alliances
- 9.5 Alliance Management
- 9.6 Summary
- 9.7 Key Words
- 9.8 Self-Assessment Questions
- 9.9 References/Further Readings

9.1 INTRODUCTION

An alliance is the sharing of capabilities between two or more firms with the intention of enhancing their competitive advantages or creating new business entity to achieve a mutually beneficial business objective. Global alliance(s) are aimed either to develop a global market presence or to enhance the global competitive capabilities of the firm. Alliances exist both locally and globally depending on the expansion and diversification plans of an organization. There exist mixed stories of success of such alliances both in domestic and global businesses. Traditionally, such alliances have existed in the industrial sectors like auto-components, textiles and food processing. Through the 60's and 70's India has been trying to forge joint ventures (JVs) between the local and foreign counter parts. The Maruti (Government of India) and Suzuki Motor Company or the Kwality (Delhi based ice-cream company) and Walls (Hindustan Unilever) tie-ups are some of them. In most cases; where the business objectives are clear and coherent; such alliances witnessed a success. The development of BrahMos Missile system, one among the best in the world, is a result of pooling of technical expertise, capabilities and financial resources of India and Russia. The export order for sale of BrahMos Missile to Philippines valuing around 374 Million USD in 2021, is one among the largest export order for any defence sector company in India. The missile also offers a strategic deterrence to India for its own defence. Indian government has been vying to supply it to other countries in Indo-Pacific region to achieve both strategic and business gains from this collaboration of India and Russia (Shad Morris, Oldroyd & Ram Singh, 2021).

A global strategic alliance is normally established when a company wants to have a competitive advantage in the related business or enters into a new geographic market especially in the countries where the restrictions on imports are higher. Usually the alliances are formed between two or more corporations for the target market which can be catering to one of the markets where import restrictions are high. Nowadays, alliances are formed to collaborate on specific strengths of each other and reap the business dividends with lower cost of products and services.

Need for Strategic Alliances

Now the question arises as to why we need strategic alliances!!!! Here are some of the reasons for using strategic alliances:

- i) **Risk Sharing:** Especially for larger firms, where the stakes are higher or where the company is investing in a new business with high entry cost, it always makes sense to do so in alliance. For instance; in the oil exploration sector where stakes are high even if one is unable to find success. Similarly; Apollo Hospital of India has inked two significant MoUs with Kenyatta National Hospital and Airtel Africa, at Nairobi, Kenya to jointly build hospital and offer medical care.
- ii) **Economies of Scale and Critical Mass:** The pooling of combined resources of two companies helps to reduce the cost as both firms enjoy benefits arising from economies of scale and larger production volume.
- iii) **Speed of Action:** Alliances help firms quickly gain foothold in the markets where business opportunities are coming-up. In order to tap the benefits of fast evolving Chinese consumer markets, there are several such joint ventures which have been forged. Similarly, some firms joined hands to produce cost effectively in China and export it to the world markets.
- iv) **Learning New Skills:** Strategic alliances help learn from each other, especially the cross-functional teams which are formed and this helps it to scale new heights.
- v) **Exploring New Business Opportunities:** Alliances also help explore new business opportunities. For example, Larsen & Toubro has joined hands with Combat Vehicles Research & Development Establishment (CVRDE), an affiliate of Defence Research & Development Organization to manufacture K-9 Vajra tanks for specific needs of Indian Armed Forces for high altitude warfare, especially in Ladakh, Himalayas.
- vi) **Accessing Restricted Markets:** Due to market restrictions, sometimes, a firm cannot enter. For example, due to prevailing investment rules of equity participation in 80s, Honda Motors has to collaborate with Hero Cycles to sell their motorcycles in India. Sometimes due to government regulations or because of the proportion of business or because either party is too sceptical to enter in to a single entry proposition, no choice situation appears.

The aspect of strategic alliance has been gaining grounds in the post pandemic period. The companies are joining hands to tide over the volatility and uncertainty in the global markets. New business ventures are coming-up in the emerging areas. Hero

Electric, India's largest electric two-wheeler maker, has joined hands with Mahindra Group to collaborate for tapping the evolving market opportunity in electric vehicles in India. Hero has expertise in two-wheeler segment while Mahindra has strong production capabilities in four-wheeler segment. This business alliance has come at times EV sales in India have touched a record high. Hero Motors intends to utilize the various production facilities of Mahindra Group to cater to this growing market. Sometimes, a company may enter into several business alliances to achieve competitive advantage. For instance, TATA Telecommunications has entered into a business alliance with Microsoft to provide cloud, unified communications, and Internet of Things (IoT) and connectivity solutions and with Cisco for dynamic communication connectivity and associated technologies. It also has alliance with AWS technology for building next-gen digital enterprise by leveraging the power of cloud, contact centre, IoT and connectivity.

Furthermore; the current surge in alliances are accounted for a number of reasons like, deregulation, strengthening of intellectual property laws, globalization, innovation in alliance design, strategic importance of speed, increased skill in alliance management and alliance exit, easier communication across long distances and unbundling of the value chain. These reasons are direct or indirect for the rise of the number of the alliances. In India, for example a large number of sectors are opening and various industries, which throws innumerable business opportunities for the host countries. The other reasons quoted above also point to rising number of global alliances.

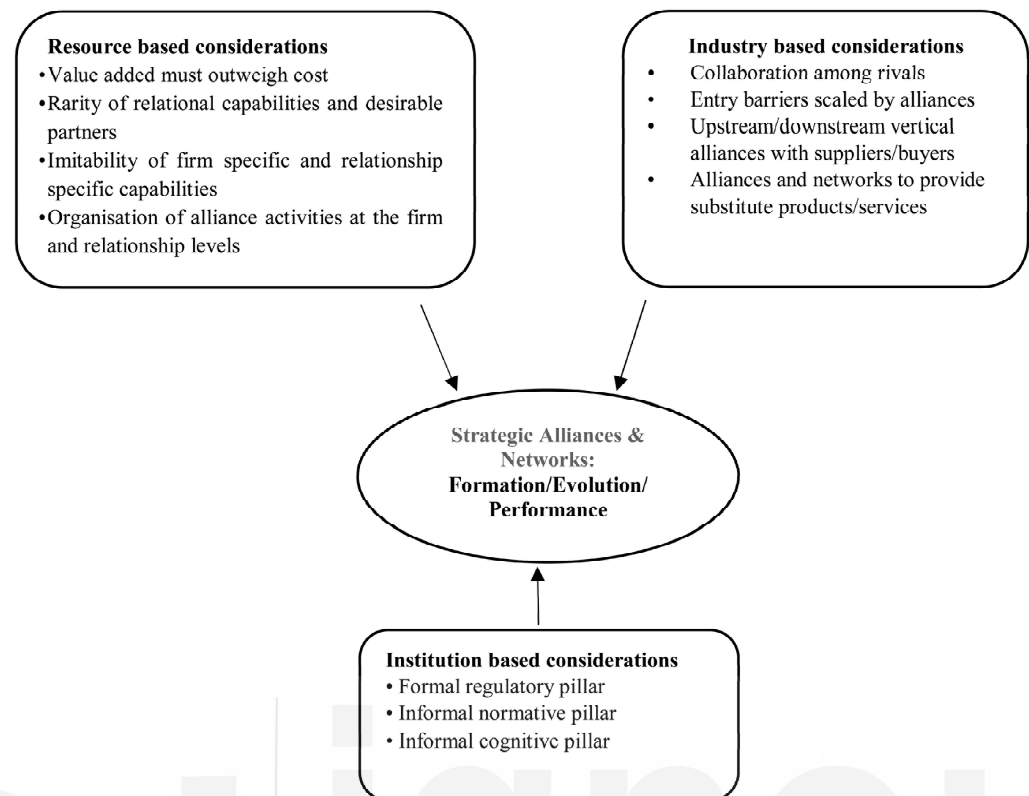
9.2 CONCEPT OF STRATEGIC ALLIANCES

Strategic alliances are “voluntary agreements between firms for exchanging, sharing, or co-developing of products, technologies or services. Strategic alliances are business-oriented collaborations aimed for gaining competitive advantages and avail extended ownership solutions for business.

Alliances are of two kinds, contractual and equity based. The former includes co-marketing, research and development contracts, turnkey projects, strategic suppliers, strategic distributors and licensing/franchising. They require lower commitments and their scope is limited. Alternatively, equity based alliances require higher commitments, and includes, strategic investment, cross shareholding and joint venture. Another important aspect of strategic alliances are strategic networks, which are a kind of joint ventures for gaining competitive grounds and gain business advantage from each other's strengths. The recent case of business alliance of Louis Vuitton and BMW is much in news as both the industries are quite different but have something in common, the customers for luxury product. They enter into a strategic alliance as both offer exclusive luxury brands focused on craftsmanship. The logic is simple, one who can afford a BMW vehicle, can probably also afford a Louis Vuitton bag. Hence; it is their shared audience and values that has facilitated both the partners to join hands. Their recent ad-promotional reminds of win-win when a model shows a Louis Vuitton bags with the BMW i8 sports car.

Comprehensive Model of Strategic Alliances and Networks

The aspect of strategic alliance is based on the industry based, resource based and institution based considerations. This is also illustrated in Figure 9.1.



Source: Peng (2007). Global Strategy, Cengage Learning.

Figure 9.1 : A Comprehensive Model of Strategic Alliances and Networks

According to the Industry Based View, the most firms are independent players and are interested in maximizing their own profits. Many firms within the business collaborate within themselves (horizontal alliances) to gain competitive grounds. Sometimes; due to high entry barriers, the firms align within themselves to enter any market. In many cases the suppliers also collaborate within themselves to enter new markets. The cartelization helps them to gain foothold in those markets. Fourth, instead of treating the buyers and distributors as possible threats, establishing distribution alliances (also called as downstream alliance) may bind the local firms, buyers and distributors together. Finally, the market potential of substitute products may encourage firms to form strategic alliance and networks to materialize the commercial potential of these new products.

The Resource Based View covers several aspects of Value, Rarity, Imitability and Organizational (VRIO) framework aspects of strategic alliance and networks. Strategic alliances and networks must create 'value'. The strategic alliance and networks reduce costs, risks and uncertainties, and allows the firms to tap into their partner's complementary assets. As a result, it leads to innovation and learning opportunity for partners. The second aspect of the framework is 'rarity' which has two dimensions, the first being the 'capability rarity' and the second is the 'partner rarity'. The capability to handle inter-firm relationships is sometimes referred to as relational capabilities. This is about the kind of relationship skills which are required to foster trust and confidence with partners for sustaining in the long run. The partner rarity is about defining key parameters which will be important for organizations in future to decide the potential partners.

The imitability aspect pertains to two levels, first being the 'firm' and second is the 'alliance or network' level. At the firm level; it is about how well the resources and capabilities are imitated by the partners. The second aspect about the alliance or network

is about the trust and understanding, which, in turn, forms the basis of any successful alliance.

The last factor of the framework is the ‘organization’. The kinds of resources an organization is endowed with, has its bearing on the strategic alliance. This is about, how firms over the years develop mechanisms and systems to handle alliances where operations are varied and large in nature. Especially, for MNE’s there are separate departments which handle all alliances. These dedicated sections ensure successful running of the alliances and network as a part of the organization.

The Institution Based Considerations include the formal and informal aspect to it. Strategic alliances and networks function within a set of formal regulatory frameworks. These formal institutions impact the antitrust concerns and entry mode requirements. They also impose sanctions and minimum requirements for the market entry modes. Informal institutions are based on collective norms, supported by a normative pillar. The last set of informal institutions stress the cognitive pillar, which is based on internalization of values and beliefs that guide firm behaviour.

Activity 1

List two examples of strategic alliances based on each of the following:

Industry based view

Resource based view

Institution based view

.....

.....

.....

.....

9.3 TYPES OF STRATEGIC ALLIANCES

Global alliances are more complex process for any internationally engaged firm. The success or failure involves in global alliances entails far-larger stakes for any firm economically and strategically. According to Doz and Hamel (1998) there are three broad types of strategic alliances:

- a) **Coalition:** This is an alliance of the competitors, distributors, and suppliers in the same industry; pooling their resources and capabilities together in such a manner that they are able to gain better hold of the global markets. For example, STAR alliance network in the airlines industry is an example of coalition.
- b) **Co-specialisation:** In this alliance, the unique capabilities are pooled together for developing new products or technologies. In this case each partner contributes to a unique asset, resource or competence. For instance, India and Japan has decided in 2019 to co-develop 5th and 6th generation communication technologies, pooling strengths of each other wherein Japan has specialization in IT Hardware and India’s core strengths lie in the

development of software. Similarly, Rolls-Royce and Hindustan Aeronautics Limited (HAL) has signed an agreement in 2021 to manufacture parts for Rolls-Royce's Adour engines under 'Make-in-India' program of government of India. Airbus and GE SNECMA are examples of such alliances.

- c) **Learning alliance:** These alliances are formed for know-how transfers, particularly, knowledge transfers. For example, Honda is spending \$2.75 billion to join General Motors' autonomous vehicle unit Cruise Automation in 2017. The endeavour is aimed at learning the futuristic ideas. Similarly, Mazda and Toyota has entered into a business and capital alliance in 2017 to learn from each other experience in manufacturing and create a new type of value for future mobility. This includes projects for electrification, alternative eco-friendly technologies and enhanced connectivity and commuting option for customers.

Alliances begin with the classic equity alliance or joint venture. It is formed when two or more distinct firms pool a portion of their resources in a separate but jointly owned organization. In such a joint venture or alliance, the equity stakes may be equal or one of the partners may hold more than majority. These could be Greenfield Projects (completely new investments) or a divisional merger whereby two separate divisions of two partnering firms merge themselves to form an alliance. Alliances may take several forms, namely, technology licensing, joint research and development, joint product development and joint distribution and marketing. Unlike equity alliance, divisional mergers are easy to form and dissolve, since partnering firms have minimum or no stakes. The third kind of alliance, minority equity alliance, involves one parent company making a minority investment in another. Minority equity alliances are used frequently in industries which rely on high-end technology and one of the companies is technologically outdated or has obsolete technology and is intending to offer a minority stake to a company for sharing their technology, technical or managerial know-how. Industries like telecommunication, software and biotechnology are some of the places where minority-stake investment strategies are commonly deployed or leveraged. The minority equity alliance can be a hedge, in which the larger firms may have an option to later purchase a majority equity stake in its smaller partner. Minority equity alliances are also used when there are governmental restrictions on full acquisitions.

The type of alliance to be forged is also dependent on the scope (global or local) and the objective (market access or capabilities enhancing) of the organization. Local alliance is the one in which the object is for a foreign company to penetrate a local market or to have access to a set of resource available in a particular country. A Global alliance is the one in which the object would be either to develop a global market presence or to enhance the worldwide competitive capabilities of the firms. There are three broad types of global alliance. In nutshell, it can be concluded that coalition is an alliance of competitors, distributors and suppliers in the same industry pooling their capabilities to reduce cost or establish standards with the ultimate goal of developing market reach. Co-specialisation is alliance of firms that join their respective unique capabilities to complement each other in order to create a business or to develop new products/technology. Lastly, for partners to transfer technical and managerial know-how or to develop new competencies, a learning alliance is formed.

Activity 2

With your understanding of different types of alliances, give at least two examples each of the following types of alliances:

.....

.....

.....

.....

.....

.....

9.4 STRATEGIC VALUE OF ALLIANCES

The starting point for analysis is an in-depth understanding of the industry drivers and the competitive forces that shapes the overall force of the industry. The second aspect is to determine the scope of the alliance and the objective of the alliance. The scope of the alliance has to do with the type of alliance; the one is looking forward to, namely, coalition or co-specialization or the learning alliance. In a coalition, partners join hands for developing market reach by coordinating their geographical assets, pooling their capabilities in order to reduce costs or enhance competitiveness. Co-specialisation alliances have a different scope; most of the time they aim at creating new products or at increasing competitiveness through the assembly of relatively independent capabilities. In learning alliance the focus is on transfer and exchange of know-how.

Another important strategic aspect of the alliance is assessing the ‘*value*’ of business potential of the alliance with respect to the partners. Theoretically defined, it includes value created by the alliance and the value captured by each partner.

- Revenues generated by the alliance through volume of sales.
- Revenues generated by the alliance through the ability to command a high differentiated price.
- Future revenues or cost benefits coming from joint R&D products or processes.
- Cost benefits resulting from economies of scale and scope.

The value captured by partner comes from:

- Distribution of the alliance profits when the alliance is structured as an autonomous economic activity;
- Profit generated by the sales of intermediary products, components or services to the alliances;
- Profits derived from products or processes developed due to alliance;
- Increased revenues or cost reduction coming from the alliance because of the increased market reach or economies of scale or scope; and
- Profits coming from other products where sales are boosted because of the alliance.

Activity 3

Take an example of two firms joining hands for a strategic alliance. Analyze as to how the two firms have created value by entering into the strategic alliance.

(Hint: Pharmaceutical companies)

.....

.....

.....

.....

.....

.....

.....

9.5 ALLIANCE MANAGEMENT

Stages of Alliance Formation

A typical strategic alliance has basically five stages. These are:

- Partner Assessment
- Contract Negotiation
- Alliance Operation
- Alliance Termination
- Implementation and Management of the Alliance

The first stage is the 'Partner Assessment' stage which involves analysing the strengths and weaknesses of the potential partner and thereby creating strategies to accommodate the management styles of different partners. The second stage is of 'Contract Negotiation' which involves determining whether all the partners involved have realistic objectives or not. It is further aimed at understanding and defining the contribution of each partner. The third stage is that of 'Alliance Operation' which involves addressing the commitment of senior management and finding the strengths of the resources devoted to the alliance. It further entails the linking of budgets and resources having strategic priorities. The fourth stage is the 'Alliance Termination' which involves winding-up the alliance when either the objectives have been met or the objectives could not be met. The final stage is the 'Implementation and Management' of Alliance which focuses on the issues defining the success of the alliance. This involves a planned document whereby who, how, what, when etc. are answered. The success and the failure of alliance depend on how a particular venture is structured. A very good example of strategic alliance is that of Toshiba. Toshiba has alliance with different companies for different reasons. Here is the list of few of the alliances Toshiba has:

- With IBM for new data storage devices;
- With Apple for new technology creation in multimedia;

- With Samsung electronics to jointly develop and market fresh memory chips;
- With Texas instruments relating to R & D; and
- Joint venture with GE to sell lighting products in Japan.

There can be many such successful ventures where both the partners benefit from the strategic alliance.

Partner Analysis

One of the strategic aspects of strategic alliances is partner analysis. Partner analysis consists of strategic fit, capabilities fit, organizational fit and cultural fit. Strategic fit is an analysis of compatibility amongst partners with respect to their explicit or implicit strategic objectives. Strategic fit, therefore includes assessment of the criticality of the alliance for the partners, the relative competitive position of partners and their compatibility in strategic agendas.

The second aspect about capability fit implies competitive capabilities of the business. It is a three step approach, which includes the determination of the organizational resources, contribution in the value-chain of each partner and finally identifying the gaps that might exist after the contribution is made. Cultural fit implies corporate, industry and national culture. Out of the three any two, especially the industry and national differences exist in most cases and partners must take into account such differences, purely for operational reasons. The last, organizational fit refers to structures, systems and procedures of an organization. Elements like decision making, documentation, accounting, reporting, formalization and incentives are part of the process.

Negotiation and Design

This aspect of operational scope involves organizational design and operational content. One can choose between four generic types of alliance design, depending on whether the structure has full operating capabilities or act as a broker and also whether it is a coalition, co-specialisation or a learning alliance.

The next aspect of negotiation is interface and governance, which includes six aspects that needs to be agreed on:

- a) The legal structure and the decision making mechanism
- b) The degree of task integration
- c) The appointment of executives
- d) The distribution of value
- e) The reporting and communication process
- f) The conflict resolution mechanism

The four other types of alliances in addition to joint ventures which are found in global alliances are:

- Equity participation by one partner in the capital of the other
- Joint equity participation
- Long term contract agreements
- R&D joint projects

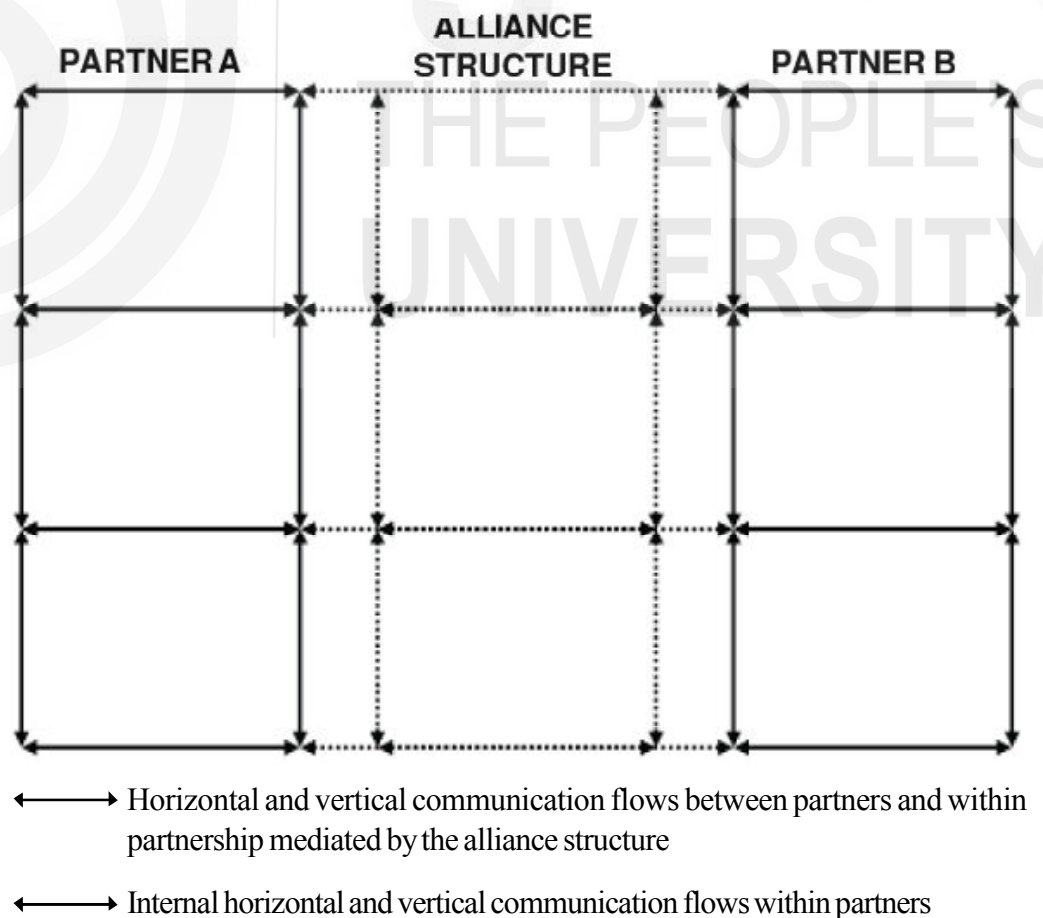
While forging alliance; the legal aspects also need to be considered. Additionally; the stakes also need to be worked out in terms of 50/50 or whatever the ratio that needs to be worked-out.

The degree of task integration refers to the independent activities of the alliance partner and how one integrates the activities together into a single unit. When R&D activities are done for a new product the departments need to be merged, at least partially, while if the alliance is only a sharing of distribution networks, the amount of interdependency between two networks may be limited.

HR issues also need to be looked at for the alliance, particularly, appointment of new people. The alliance can recruit fresh talent from the external sources or can pool talent from the existing alliance companies. HR issues vis-a-vis, who will head the new alliances, the sharing of different functional roles at middle management and required support staff at the bottom etc., need to be worked-out. The HR issues should further explore issues related to skills required for each functional role for employees of the new alliance.

As the alliance creates value; this needs to be distributed within the partners on the basis of pre-alliance agreement, though profit is the most prominent value that needs to be shared.

The communication and reporting processes need to be worked out in the alliance. The communication platform must be developed so that the partners are kept aware of the developments within the alliance. The communication flow has been discussed in Figure 9.2 through the arrows and the dotted arrows.



Source: Lasserre (2003), Global Strategic Management.

Figure 9.2 : Communication flow in Alliances

Finally, one of the most important aspects of the negotiation and design is the conflict resolution mechanism. The robustness of the internal mechanism to solve problems will be the most important aspect of the conflict resolution.

Implementation

The last stage in alliance management is the implementation which includes integration, cooperation and learning. After the formation of the alliance it's important to put the alliance and the alliance structure to work independently so that the teams allocated to the alliance achieve the planned output. This is the job of the integration team whose task is to ensure that seamless integration happens for all the standalone activities.

Learning from the alliance is integral and there are two kinds of learning; co-learning which is within the alliance and captured learning which is learning of the partners from each other. The partners can learn in an alliance on the following aspects (Lassere, 2003).

- About the business
- About the tasks
- About partner's expectations and capabilities

Partners discover jointly the characteristics and trends in markets, industry and its competitive drivers. This kind of learning is normal in any venture, whether joint or not.

9.6 SUMMARY

The unit focuses on strategic alliance, which you should not confuse with mergers and acquisitions. Buy-outs and takeovers are where one firm buys-out the stake in the other firm, thereby gaining controlling authority. On the contrary, in alliances firms come together to work jointly either on a 'turnkey-basis' or on a 'rollout-basis'. Most often when firms go-global and test waters in host country, alliances are one of the most favoured options. It helps MNE's gain knowledge and experience about the host country environment along with learning on how to deal with market-specific nuances of doing business.

A strategic alliance is a link between two or more firms that enhances the effectiveness of the firm's competitive strategies. An alliance is a voluntary arrangement between two or more firms that involves the exchange, sharing or co-development of products, technologies, or services. An alliance is, therefore, sharing of capabilities between two or several firms, with the view of enhancing their competitive advantage or creating a new business venture and without losing their respective strategic autonomy.

Alliance can be local or global in nature depending how firms decide to merge and do business together. A local alliance is one where the object of the foreign company is to penetrate a local market or to have access to a set of resources available in a particular country. Global alliance is one where the objective is to develop market presence or to enhance the global competitive capabilities of the firm. The three types of global strategic alliances are:

- Coalition
- Co-specialization
- Learning alliance

The eight criteria for success of global alliances are:

- Individual difference
- Importance
- Interdependence
- Investment
- Information
- Integration
- Institutionalisation
- Integrity

Strategic alliance analysis is an important part and starts with an in-depth understanding of the industry drivers and the competitive forces that shapes the overall growth of the industry. The second aspect is to determine the scope of the alliance especially the objective of the alliance. The scope of the alliance has to do with the type of alliance, one is looking forward to, namely, coalition or co-specialization or the learning alliance. In a coalition; partners look forward to enhance their market reach by coordinating their geographical assets. They further pool their capabilities in order to reduce costs or enhance competitiveness. Co-specialisation alliances have a different scope; most of the time they aim at creating new products or at increasing competitiveness through the assembly of relatively independent capabilities. In learning alliance; the focus is on transfer and exchange of technical and managerial know-how.

Another important strategic aspect of the alliance is assessing the value potential of the alliance with respect to the partners. The value created by the alliance is driven by four factors:

- Revenues generated by the alliance through volume of sales
- Revenues generated by the alliance through the ability to command a highly differentiated price
- Future revenues or cost benefits coming from joint R&D products or processes
- Cost benefits resulting from economies of scale and scope

The four major steps for analysis of strategic alliances are:

- Understanding the strategic context and spelling-out the strategic value of an alliance:
 - i) Scope definition
 - ii) Strategic objectives
 - iii) Value creation potential
- Analysis of partners
 - i) Strategic fit
 - ii) Capabilities fit
 - iii) Cultural fit
 - iv) Organisational fit

- Negotiation and design
 - i) Operational Scope
 - ii) Interface
 - iii) Governance
- Implementation
 - i) Integration
 - ii) Co-operation
 - iii) Evolution
 - iv) Strategic fit
 - v) Capabilities fit
 - vi) Cultural fit
 - vii) Organisational fit

9.7 KEY WORDS

Strategic Alliance	:	An alliance is the sharing of capabilities between two or more firms with the view of enhancing their competitive advantages and/or creating new business without losing their respective strategic autonomy.
Coalition	:	An alliance of the competitors, distributors, and suppliers in the same industry putting their pool of resources and capabilities together in such a manner that they are able to gain better hold of the global markets.
Co-specialization	:	Each partner contributes to a unique asset, resource or competence.
Learning Alliance	:	These alliances are formed for know-how transfers, particularly, knowledge transfers.
Global Alliance	:	Global alliance is one in which the object is either to develop a global market presence or to enhance the international competitive capabilities of the firm.
Local Alliance	:	A local alliance is one where the object of the foreign company is to penetrate a local market or to have access to a set of resources available in a particular country.
Industry Based View	:	In this, the most firms are independent players and are interested in maximizing their own profits.
Resource Based View	:	It covers several aspects of value, rarity, imitability and organizational (VRIO) framework aspects of strategic alliance and networks.

Institution Based View	:	Strategic alliances and networks function within a set of formal regulatory frameworks. These formal institutions impact the entry mode requirements. They also impose sanctions and minimum requirements for the market entry modes. Informal institutions are centred on collective norms, supported by a normative pillar.
Equity Alliance	:	This is formed when two or more distinct firms pool a portion of their resources in a separate and jointly owned organization.
Non-equity Alliance	:	Non-equity alliance involves no exchange of equity and no new company is formed. They are of several types, namely, licensing of technology, joint R&D, joint product development and joint distribution and marketing.
Minority Equity	:	Minority equity alliance involves one parent company making a minority investment in another, and under this umbrella, a variety of deals are made.
Strategic fit	:	Strategic fit is analysis of compatibility amongst partners with respect to their explicit or implicit strategic objectives.
Capability fit	:	Capability fit implies competitive capabilities of the business.
Organizational fit	:	Organizational fit refers to structures, systems and procedures of an organization.
Cultural fit	:	Cultural fit implies corporate, industry and national culture.

9.8 SELF-ASSESSMENT QUESTIONS

- 1) Describe the concept of Strategic Alliance with the help of examples.
- 2) What are the sources of value-creation in an alliance?
- 3) What are some of the key criteria for success of an alliance?
- 4) What are the different stages of a Strategic Alliance? Illustrate with the help of an example from the corporate world.

9.9 REFERENCES/ FURTHER READINGS

- Inkpen, Andre and Ramaswamy, Kannan (2006). Global Strategy: Creating and Sustaining Advantage across Boundaries, OUP.
- Shad Morris, James Oldroyd & Ram Singh (2021): International Business, Wiley India Pvt. Ltd.

- Lasserre, Philippe (2003). Global Strategic Management, Palgrave Macmillan.
- Peng, W. Mike (2007). Global Strategy, Cengage Learning.
- Ram Singh (2020): Export- Import Management, Sage Books, 1st Edition, 2020.
- Charles W. L. Hill , G. Tomas M. Hult & Rohit Mehtani (2018): International Business: Competing in the Global Marketplace (SIE), 11th Edition.
- MS-97, International Business, School of Management Studies, IGNOU, New Delhi, November, 2015 (Reprint).
- [www.http://importexport.about.com](http://importexport.about.com)



